The Relationship Between GAMM Capital Expenditure and Its Suppliers' Revenues

1. Scope and methodology

Throughout this analysis, I will use the acronym **GAMM** to refer collectively to Google, Amazon, Microsoft, and Meta. The term **GAMM's US suppliers** will refer to NVIDIA, Broadcom, and Micron.

I collected financial data from the SEC Form 10-K filings of GAMM and its US suppliers using a Python algorithm designed to parse SEC filings and extract relevant financial information.

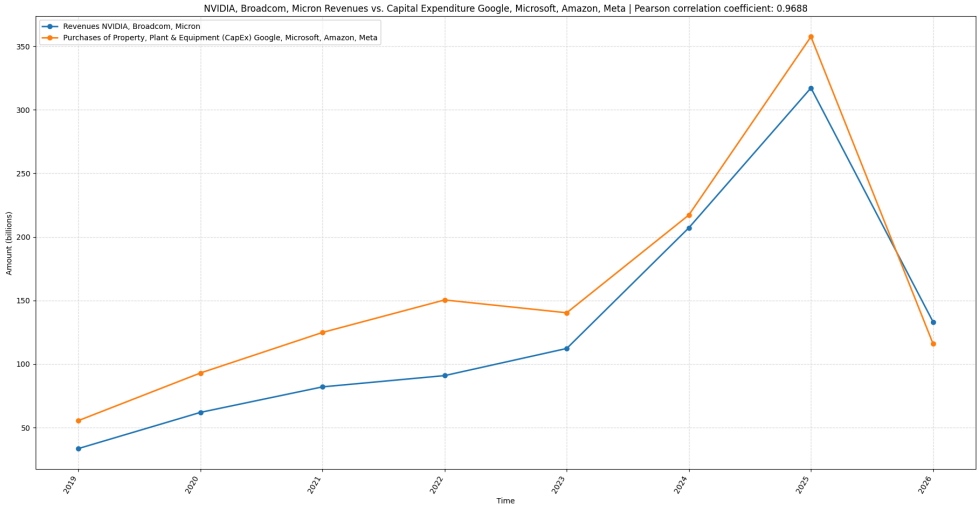
The financial statements of TSMC, ASML, SK Hynix, and Samsung are not published in the same format as those of US companies. Consequently, their financial data could not be retrieved using my algorithm. This analysis is therefore limited to US companies.

In my opinion, including TSMC and ASML would not significantly change the results, although their exclusion should be acknowledged as a limitation. NVIDIA's cost of goods sold (COGS), for example, represents revenue for TSMC, which manufactures its chips. Similarly, part of TSMC's revenue is subsequently converted into capital expenditure through its purchases of ASML's machinery. Including the revenues of both companies could therefore result in double counting certain economic flows associated with GAMM's capital expenditure.

Including SK Hynix and Samsung, on the other hand, would provide a broader picture of the relationship between GAMM's capital expenditure and the revenues of its suppliers. Nevertheless, I believe that focusing on the US market provides a useful indication of the relationship between AI-related hyperscaler investment and the revenues of companies supplying the necessary infrastructure.

2. Correlation between GAMM's capital expenditure and suppliers' revenues

Between 2019 and 2025, GAMM's aggregate capital expenditure increased substantially. Over the same period, the combined revenues of NVIDIA, Broadcom, and Micron also increased.



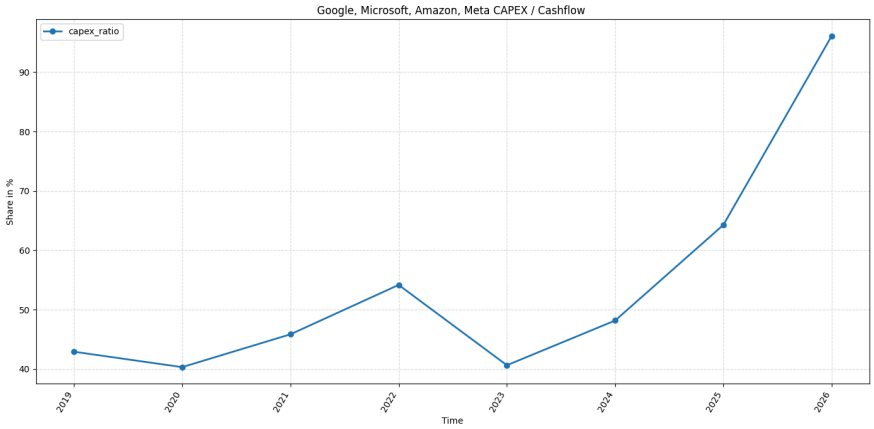
These three companies are major beneficiaries of AI-related capital expenditure, supplying GAMM with essential components and infrastructure required to develop and operate AI systems and data centres.

I plotted both aggregate figures on a graph and calculated a **Pearson correlation coefficient of 0.9688**.

This result suggests a very strong positive linear correlation between GAMM's aggregate capital expenditure and the combined revenues of its US suppliers.

Based on these findings, we can hypothesise that the revenues of NVIDIA, Broadcom, and Micron might highly be dependent on GAMM's investment decisions. In other words, a significant proportion of their economic performance may be linked to the willingness of hyperscalers to continue expanding their AI infrastructure.

Furthermore, according to the financial filings for Q2 2026, GAMM's aggregate capital expenditure represented approximately 96% of its operating cash flow.



3. A potential slowdown in hyperscaler capital expenditure

As long as GAMM considers its capital expenditure capable of generating sufficiently profitable assets, it has an economic incentive to continue investing. NVIDIA, Broadcom, and Micron are likely to benefit from this continued investment.

However, we should consider a scenario in which demand for GAMM's services (cloud computing, hyperscaler infrastructure, AI services, etc.) begins to stagnate or even decline. This could happen if additional computing capacity no longer translates into a sufficient increase in customers or revenue.

Under such circumstances, we could assume that GAMM would eventually reduce its capital expenditure.

According to the Q2 2026 figures, GAMM's aggregate depreciation amounted to approximately **$37.269 billion**. Compared with its current capital expenditure, this represents only around 22%.

In an extreme hypothetical scenario, GAMM's capital expenditure could therefore fall by a maximum of 78%.

Such a substantial reduction in investment could have significant consequences for the revenues of its suppliers.

4. Potential consequences for market capitalisation

There are two possible scenarios to consider.

Scenario 1: GAMM's capital expenditure generates the expected returns.

If GAMM's investments prove as profitable as anticipated, its current market capitalisation could be justified by the future cash flows generated by these assets.

Scenario 2: GAMM's capital expenditure fails to generate the expected returns.

If the profitability of these investments falls short of expectations, GAMM's market capitalisation could decline. However, its strong underlying businesses and financial fundamentals could provide some downside support.

Regardless of which scenario materialises, GAMM cannot indefinitely allocate nearly 100% of its operating cash flow to capital expenditure. Eventually, a greater proportion of its profits may

need to be directed towards other uses, including shareholder distributions through dividends and share buybacks.

In that situation, GAMM's suppliers could experience a substantial decline in revenues as demand for additional property, plant, and equipment decreases.

This could, in turn, trigger a sharp contraction in the market capitalisations of NVIDIA, Broadcom, and Micron.

5. Potential consequences for the semiconductor industry and AI development

A significant decline in demand could leave NVIDIA, Broadcom, and Micron with excess production capacity.

This potential overcapacity could put downward pressure on the prices of GPUs, CPUs, custom AI chips, RAM, and networking equipment.

Such a development would not necessarily be negative for the broader economy.

Lower computing costs could allow companies with smaller financial resources to enter the AI and hyperscaler markets without having to commit substantial amounts of capital to infrastructure.

This could create opportunities for new competitors to emerge and challenge the current dominance of GAMM.

Furthermore, cheaper computing power could accelerate innovation in the field of *physical AI*, particularly through the development and deployment of humanoid robots and other autonomous systems.

Finally, more affordable GPUs could also benefit consumers. Gamers, in particular, would welcome the opportunity to purchase powerful graphics cards at lower prices, making high-performance gaming more accessible.

In this sense, a downturn in semiconductor demand, while potentially painful for current suppliers and their shareholders, could ultimately contribute to a more competitive and accessible computing industry.